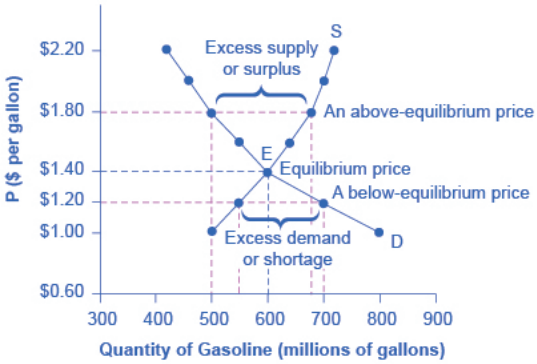
u1. Basic Economic Concepts

Introduction

- **Terminologies:**
  - **Opportunity Cost** - The cost of any action in terms of what you could have done instead
  - **Constrained Optimization**
    * Constrained -> Every decision has an `opportunity cost`
    * Optimization -> Make yourself as well off as possible
  - **Model**
    * To simplify things down *(strip down the variables e.g. Occam razor)*
    * Intuitively
    * Graphically
    * Mathematically

Supply and Demand

> [!WARNING] Most economics model don't represent the reality instead the are trying approximate it

- **Supply and Demand Model**
  - **Demand -** How much people want it! *(The greater the demand, the higher the price)*
  - **Supply -** How much is available *(The greater the supply, the lower the price)*
  - **Equilibrium point -** The point in which both the consumer and the provider are happy to purchase and provides the goods *(This is where the "demand" curve intersect with the "supply" curve)*